

BELARUS

Table 1 **2021**

Population, million	9.4
GDP, current US\$ billion	68.4
GDP per capita, current US\$	7294.5
Upper middle-income poverty rate (\$6.85) ^a	1.3
Gini index ^a	24.4
School enrollment, primary (% gross) ^b	95.3
Life expectancy at birth, years ^b	74.2
Total GHG emissions (mtCO ₂ e)	61.7

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2020), 2017 PPPs.

b/ Most recent WDI value (2020).

Recession deepens as exports are hampered by sectoral sanctions and disruptions of trade with Ukraine. As inflation picked up, real interest rates fell, helping to alleviate credit constraints for enterprises, but stretching household budgets. A contraction of economic activity and higher poverty are projected in 2023 as businesses continue to face supply-side bottlenecks, while the effects of policies to support the economy and promote import substitution are yet to materialize.

Key conditions and challenges

In recent years, Belarus's economy has faced a series of external and domestic shocks related to the COVID-19 pandemic and packages of economic sanctions adopted in the aftermath of the disputed 2020 elections and in response to Belarus's involvement in Russia's military invasion of Ukraine. While 2020-21 restrictive measures had a limited negative impact on the economy, the expanded sanction packages of 2022 affect commodities exports, generating a loss of up to one-third of merchandise export revenues, which is equal to about 18 percent of 2021 GDP. Increased trade with Russia (by 23 percent y/y in US\$ nominal terms in H1 2022) – driven by higher prices rather than volumes – curb these losses only partially. Yet, preferential gas and oil prices cushion the impact of these external shocks by containing cost pressures generated by sanctions and related supply-side bottlenecks as well as lowering energy bills for industrial consumers. While businesses seek adaptation to a sanctions-shaped environment, the authorities count on the effects of the 2022 support package for the economy, which includes some business liberalization measures. At the same time, import-substitution policies are expected to alleviate supply-side constraints and boost domestic manufacturing. As the effects of these measures are yet to materialize, GDP is

projected to decrease in both 2022 and 2023. However, this scenario is subject to uncertainties related to the ongoing Ukraine-Russia war and its economic repercussions for the country and the region. Also, forecasting is affected by an increasing lack of access to important data, including on the production and trade of sanctioned commodities, the structure of foreign reserves, and fiscal accounts.

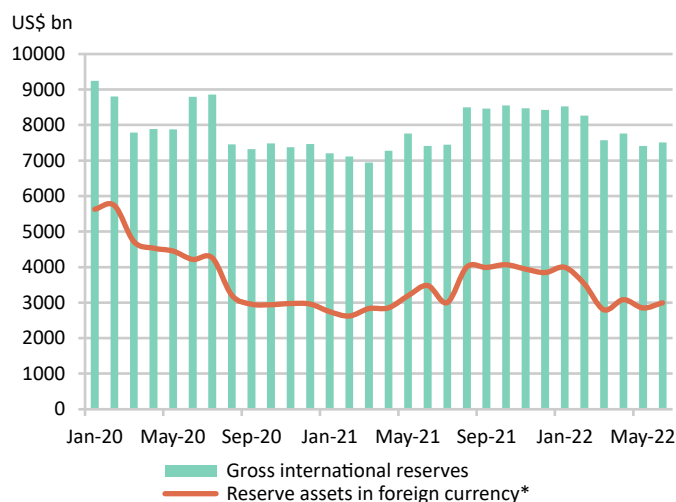
Recent developments

In the first half of 2022, real GDP declined by 4.2 percent y/y as exports continued to fall and domestic demand weakened. Logistics and supply chain constraints led imports to fall faster than exports (7.3 vs 4.4 percent y/y in H1 2022 in nominal US\$), improving trade balance and containing exchange rate pressures. After a short-lived depreciation in March, the BYN/US\$ rate bounced back, falling below its pre-war level. Sales of FX by non-residents – close to US\$900 million on a net basis over January-July 2022 – helped to maintain the exchange rate stable.

CPI inflation picked up in March and remains elevated at 18.1 percent y/y as of July 2022. Higher inflation has lowered real interest rates, but the subsequent increase in corporate borrowing has not translated into higher investment, as companies seek to fund ongoing activities.

The assessment of fiscal situation is prevented by the lack of publicly available data on budget execution through 2022. The GFS data for Q1 2022 show a considerable

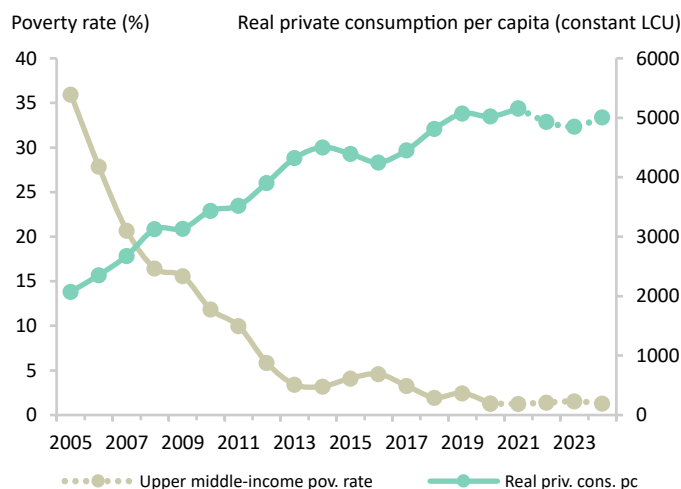
FIGURE 1 Belarus / Foreign reserves



Source: NBRB.

Note: *gross reserves net of monetary gold and SDR.

FIGURE 2 Belarus / Actual and projected poverty rates and real private consumption per capita



Source: World Bank. Notes: see Table 2.

decline in tax revenues from foreign trade, while reduction of other tax revenue occurred on a smaller scale.

In mid-July international rating agencies reported about the sovereign default as interest payments on 2027 Eurobonds were made in the national currency instead of FX and in September Fitch has downgraded four Belarussian sovereign Eurobonds to 'D' and affirmed Belarus's Default Rating at 'RD'. The Ministry of Finance claimed this was due to sanctions preventing bondholders from collecting payments rather than inability to service. Although from the beginning of 2022 gross foreign currency reserves declined by US\$962 mln, reaching US\$7.56 bn by August 1, they remain equivalent to two months of goods and services imports. However, restricted access to international financial markets makes meeting a US\$800 mln principal payment on Eurobonds due 28 February 2023 much more challenging.

Declining real household incomes in 2022 have not yet translated into poverty increase. The number of households below the national poverty line fell in 2021 and remained at 4 percent in Q1 2022, very close to 2021 levels.

Outlook

The outlook is driven by the effects of external restrictions imposed on Belarus's economy and adjustment strategies by businesses and the government. The use of suboptimal transportation routes and financing mechanisms increases transaction costs and weakens the price competitiveness of exports. Sanctions against the financial sector deprive banks of possibilities to borrow from abroad. In this situation, external financing needs could only be met via bilateral borrowing – from Russia and/or affiliated financial institutions. The lack of certain inputs creates constraints for producers, only partially alleviated by 'parallel' imports occurring without the consent of the trademark or copyright holder. Announced import substitution policies – initially focusing on making auto components – are unlikely to address these immediate supply-side bottlenecks. To finance these policies, authorities seek to attract US\$1.5 bn from Russia. Earlier this year, it has been announced that Belarus seeks to place government bonds in

Russia at the amount of RUB100 bn, which is equivalent to US\$1.5 bn.

In this environment, accommodating monetary policy to support credit expansion, coupled with increased lending through the Development Bank could limit the magnitude of economic downturn, but elevate risks for financial and macroeconomic stability going forward.

Recession will put the growth of real wages on hold, while higher inflation will further bite real household incomes, decreasing purchasing capacity of the population and weakening household consumption. Poverty and household vulnerability are expected to increase in 2022 and 2023.

The medium-term prospects will be shaped by the patterns of adjustment to the sanctions regime and spillovers from the Russian economy, also being affected by various restrictions. To enter new, 'unsanctioned' markets, Belarusian producers have to address numerous challenges related to costs, logistics, and supply chains. Given structural weaknesses accumulated in the past, all these factors make the timing and sustainability of the recovery uncertain.

TABLE 2 Belarus / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2019	2020	2021	2022e	2023f	2024f
Real GDP growth, at constant market prices	1.4	-0.9	2.3	-6.2	-2.3	2.5
Private Consumption	5.1	-1.4	2.6	-4.5	-1.8	3.1
Government Consumption	0.4	-1.1	-0.5	-1.8	-1.5	1.3
Gross Fixed Capital Investment	6.2	-6.8	-5.6	-12.1	-2.7	4.9
Exports, Goods and Services	1.0	-3.2	9.5	-11.8	2.1	6.2
Imports, Goods and Services	5.2	-7.9	5.8	-13.7	3.5	8.0
Real GDP growth, at constant factor prices	1.5	-0.9	2.3	-6.2	-2.3	2.5
Agriculture	3.0	4.9	-4.2	-2.4	3.5	1.9
Industry	1.4	-0.7	6.5	-7.9	1.5	4.5
Services	1.3	-2.0	0.2	-5.5	-6.3	0.9
Inflation (Consumer Price Index)	4.7	7.4	10.0	18.7	11.9	7.2
Current Account Balance (% of GDP)	-1.8	-0.2	2.6	1.4	0.1	-1.2
Net Foreign Direct Investment Inflow (% of GDP)	2.0	2.1	1.7	3.3	2.2	2.3
Fiscal Balance (% of GDP)	2.5	-1.7	0.0	-1.1	-0.3	0.0
Debt (% of GDP)	37.5	41.1	36.0	50.5	54.6	51.2
Primary Balance (% of GDP)	4.3	0.0	1.6	0.4	1.1	1.3
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{a,b}	2.4	1.3	1.2	1.4	1.5	1.3
GHG emissions growth (mtCO₂e)	-2.1	-2.3	-3.4	-7.1	-3.6	1.7
Energy related GHG emissions (% of total)	85.9	85.6	85.2	85.3	85.6	86.1

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast. Poverty lines are expressed in 2017 PPP, resulting in changes from earlier editions that used 2011 PPP. See pip.worldbank.org.

a/ Calculations based on ECAPOV harmonization, using 2020-HHS. Actual data: 2020. Nowcast: 2021. Forecasts are from 2022 to 2024.

b/ Projection using neutral distribution (2020) with pass-through = 0.87 (Med (0.87)) based on private consumption per capita in constant LCU.